



GOVERNANCE DOCUMENT

Financial Management and Internal Controls Policy

International Society of Equity Analysts

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This document forms part of the official governance framework of the International Society of Equity Analysts (ISEA) and should be read together with the related documents listed above.

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1. Purpose

The International Society of Equity Analysts (ISEA) is committed to maintaining sound financial management, effective internal controls, financial accountability and responsible stewardship of its financial resources.

This Financial Management and Internal Controls Policy (“Policy”) establishes the principles, controls and responsibilities governing the management of ISEA’s financial affairs.

The purpose of this Policy is to ensure that ISEA:

- (a) manages its financial resources prudently and in accordance with its objectives;
- (b) maintains accurate, complete and timely financial records and reports;
- (c) protects ISEA funds and assets from loss, misuse, fraud, error and unauthorised expenditure;
- (d) maintains appropriate controls over budgeting, purchasing, expenditure, banking and payments;
- (e) ensures that financial decisions are made within approved delegations and authority;
- (f) maintains appropriate segregation of financial duties;
- (g) identifies and appropriately manages financial conflicts and related-party transactions;
- (h) maintains appropriate financial reserves and liquidity;
- (i) provides the Governing Council with sufficient financial information to discharge its oversight responsibilities; and
- (j) maintains appropriate audit, review and assurance arrangements.

This Policy forms part of ISEA’s broader governance, risk management and accountability framework and shall be interpreted consistently with the ISEA Charter and other applicable ISEA policies, regulations and governance requirements.

2. Scope and Application

This Policy applies to:

- (a) the Governing Council;
- (b) the Secretary-General and other officers of ISEA;
- (c) members of the Executive Secretariat;
- (d) committee members where they exercise financial authority or incur expenditure on behalf of ISEA;
- (e) employees and contractors involved in financial administration or expenditure;
- (f) volunteers or other persons authorised to handle ISEA funds or incur expenditure on behalf of ISEA; and
- (g) any other person exercising a financial delegation or authority on behalf of ISEA.

This Policy applies to all ISEA financial activities, accounts, funds, assets, transactions and commitments, regardless of the jurisdiction in which they occur or the currency in which they are denominated.

Persons exercising financial authority on behalf of ISEA shall comply with this Policy, applicable financial delegations and any procedures established under it.

Where a person is uncertain about the application of this Policy, the matter shall be referred to the Secretary-General or other authorised officer for determination.

3. Financial Management Principles

ISEA shall manage its financial affairs in accordance with the following principles:

- (a) Accountability — persons entrusted with ISEA funds shall be accountable for the proper use and stewardship of those funds.
- (b) Prudence — financial decisions shall have regard to ISEA’s objectives, financial capacity, foreseeable obligations and longer-term sustainability.

- (c) Transparency — financial transactions and decisions shall be appropriately documented and capable of review.
- (d) Value for Money — expenditure shall seek to achieve appropriate value having regard to quality, suitability, cost, risk and the interests of ISEA.
- (e) Authorisation — expenditure and financial commitments shall be approved by persons with appropriate authority.
- (f) Segregation of Duties — key financial functions shall, where practicable, be separated so that no individual has inappropriate control over an entire financial transaction.
- (g) Integrity — ISEA's financial resources shall not be used for personal, improper or unauthorised purposes.
- (h) Risk Management — financial risks shall be identified, assessed, managed and monitored consistently with ISEA's Risk Management Policy.
- (i) Compliance — ISEA shall maintain appropriate compliance with applicable legal, regulatory, accounting, contractual and governance requirements.

4. Financial Governance and Responsibilities

4.1 Governing Council

The Governing Council has overall oversight responsibility for ISEA's financial affairs.

The Governing Council shall:

- (a) approve ISEA's annual budget and material revisions to the budget;
- (b) approve the financial framework and significant financial policies;
- (c) oversee ISEA's financial sustainability and financial position;
- (d) monitor financial performance against approved budgets and strategic objectives;
- (e) oversee the maintenance of appropriate financial reserves;
- (f) approve financial delegations and material changes to those delegations;
- (g) oversee significant financial risks;
- (h) receive and consider periodic financial reports;
- (i) oversee the integrity of ISEA's financial reporting;
- (j) oversee audit and financial review arrangements;
- (k) ensure that material financial irregularities, fraud or suspected misconduct are appropriately addressed; and
- (l) take such other financial oversight actions as are necessary to discharge its governance responsibilities.

The Governing Council may delegate specified financial authorities to the Secretary-General, committees, officers or other authorised persons, provided that such delegation is documented and remains subject to appropriate oversight.

4.2 Secretary-General

The Secretary-General is responsible for the day-to-day financial administration of ISEA within the authority delegated by the Governing Council.

The Secretary-General shall:

- (m) implement the approved budget;
- (n) ensure that appropriate financial controls are maintained;
- (o) oversee financial reporting and recordkeeping;
- (p) ensure that expenditure is appropriately authorised;
- (q) monitor financial performance and cash flow;
- (r) ensure that banking and payment arrangements are appropriately controlled;

- (s) ensure that financial risks and irregularities are escalated appropriately;
- (t) ensure that financial delegations are observed; and
- (u) report material financial matters to the Governing Council.

The Secretary-General shall not exercise a financial authority beyond the limits approved by the Governing Council.

4.3 Executive Secretariat and Financial Administration

The Executive Secretariat shall maintain appropriate financial administration systems and procedures, including:

- (v) accounting records;
- (w) budgets and forecasts;
- (x) invoices and supporting documentation;
- (y) payment records;
- (z) banking records;
- (aa) reimbursement records;
- (bb) asset records where applicable;
- (cc) financial reports; and
- (dd) other financial documentation required for proper governance and accountability.

Financial administration shall be conducted consistently with ISEA's Document Retention Policy and applicable privacy and information-management requirements.

5. Budgeting and Financial Planning

ISEA shall operate on the basis of an approved annual budget.

The annual budget should be developed having regard to:

- (a) ISEA's strategic objectives and approved activities;
- (b) expected membership and other income;
- (c) operating and program expenditure;
- (d) staffing and administrative costs;
- (e) contractual and other financial commitments;
- (f) expected capital or significant one-off expenditure;
- (g) financial reserves;
- (h) cash-flow requirements;
- (i) material financial risks; and
- (j) other matters relevant to ISEA's financial sustainability.

The proposed annual budget shall be prepared by the Secretary-General or authorised financial administrator and submitted to the Governing Council for approval.

No person may knowingly commit ISEA to expenditure outside the approved budget unless the expenditure is:

- (k) within an approved financial delegation and otherwise authorised; or
- (l) subsequently approved through an appropriate budget variation or other authority established by ISEA.

Material variations from the approved budget shall be reported to the Governing Council.

The existence of an approved budget does not, by itself, constitute authority to incur expenditure. Individual expenditure must still satisfy applicable approval and delegation requirements.

6. Financial Reporting

ISEA shall maintain financial records that are sufficiently accurate, complete and timely to support effective management and governance.

Financial reporting shall provide the Governing Council with an appropriate view of ISEA's:

- (a) financial position;
- (b) income and expenditure;
- (c) cash position and liquidity;
- (d) performance against budget;
- (e) material financial commitments;
- (f) reserves;
- (g) significant financial risks; and
- (h) other matters necessary for effective financial oversight.

Financial reports shall be prepared at intervals determined by the Governing Council or Secretary-General, having regard to the size, complexity and financial activities of ISEA.

Material variances between actual and budgeted financial performance shall be identified and, where appropriate, explained.

Financial reports provided to the Governing Council shall be sufficiently clear and complete to enable Council members to understand ISEA's financial position and discharge their oversight responsibilities.

7. Expenditure Approval and Financial Delegations

ISEA shall maintain a documented system of financial delegations.

Financial delegations shall specify, as appropriate:

- (a) the person or role holding the delegation;
- (b) the type of expenditure or financial decision covered;
- (c) the applicable monetary limit;
- (d) any conditions or restrictions;
- (e) whether the delegation may be further delegated; and
- (f) any additional approval requirements.

A person shall not approve expenditure for which they do not have an appropriate delegation.

Financial delegations shall be exercised only for legitimate ISEA purposes and within the approved budget or other authorised financial framework.

A person shall not approve their own expenditure, reimbursement or personal financial benefit.

Where expenditure involves a conflict of interest or related-party transaction, the requirements of Section 14 of this Policy and the Conflict of Interest Policy shall also apply.

The Governing Council shall periodically review financial delegations to ensure that they remain appropriate for ISEA's activities and governance structure.

8. Segregation of Duties

ISEA shall maintain appropriate segregation of financial duties to reduce the risk of error, fraud, misuse of funds and unauthorised transactions.

Where practicable, the following functions should be separated:

- (a) initiating or requesting expenditure;
- (b) approving expenditure;
- (c) processing or making payment;

- (d) recording transactions;
- (e) reconciling bank accounts; and
- (f) reviewing or overseeing financial activity.

No individual should ordinarily have sole control over the initiation, approval, payment and reconciliation of the same transaction.

Where ISEA's size, staffing or operational circumstances make full segregation impracticable, compensating controls shall be established, which may include:

- (g) independent review;
- (h) additional approval;
- (i) periodic transaction testing;
- (j) Governing Council oversight; or
- (k) other appropriate supervisory controls.

Any material limitation on segregation of duties shall be documented and appropriately managed.

9. Banking and Management of Funds

ISEA shall maintain bank accounts only with financial institutions approved by the Governing Council or under an authority expressly delegated by it.

Bank accounts shall be established and operated in ISEA's legal name or such other name as is properly authorised.

ISEA shall maintain appropriate controls over:

- (a) opening and closing bank accounts;
- (b) authorised account signatories;
- (c) online banking access;
- (d) payment instructions;
- (e) changes to banking details;
- (f) bank reconciliations; and
- (g) access credentials and authentication mechanisms.

Changes to bank account signatories or electronic banking authorities shall require appropriate approval and verification.

Bank reconciliations shall be performed regularly and independently reviewed where practicable.

ISEA funds shall not be held in personal bank accounts except in exceptional circumstances expressly authorised by the Secretary-General and subject to appropriate controls.

ISEA funds shall not be commingled with personal funds.

10. Payment Authorisations

Payments made on behalf of ISEA shall be supported by appropriate documentation establishing:

- (a) the nature and purpose of the expenditure;
- (b) the identity of the payee;
- (c) the amount payable;
- (d) the relevant budget or financial authority;
- (e) evidence that the goods or services were received, where applicable; and
- (f) the required approval.

Payment approvals shall be consistent with applicable financial delegations.

Where practicable, payment processing shall be separated from payment approval.

Changes to supplier or beneficiary bank details shall be subject to appropriate verification before payment is made.

ISEA shall maintain appropriate controls against fraudulent payment instructions, including payment fraud, impersonation, business email compromise and unauthorised changes to payment information.

11. Purchasing and Procurement

Purchasing on behalf of ISEA shall be conducted fairly, transparently, prudently and with appropriate regard to value for money.

Persons responsible for purchasing shall:

- (a) purchase only goods and services reasonably required for legitimate ISEA purposes;
- (b) consider price, quality, suitability, reliability, risk and other relevant factors;
- (c) use approved suppliers where applicable;
- (d) obtain appropriate quotations or other evidence of value for significant expenditure where practicable;
- (e) avoid unnecessary or unreasonable expenditure; and
- (f) maintain appropriate records of material purchasing decisions.

Purchasing arrangements shall not be structured or divided for the purpose of avoiding an applicable approval threshold or financial delegation.

Where competitive procurement is impracticable due to the nature, urgency or specialised nature of the requirement, the reason should be documented and the expenditure approved in accordance with applicable delegations.

Persons involved in purchasing shall disclose and appropriately manage any actual, potential or perceived conflict of interest.

12. Reimbursements and Expense Claims

ISEA may reimburse reasonable and properly incurred expenses arising from authorised ISEA activities.

A reimbursement claim should:

- (a) relate directly to legitimate ISEA business;
- (b) be reasonable in amount;
- (c) be supported by appropriate receipts or other evidence, where available;
- (d) identify the purpose and nature of the expense;
- (e) be submitted within the timeframe established by ISEA; and
- (f) be approved by an appropriately authorised person.

Individuals shall not approve their own reimbursement claims.

Where the claimant is the Secretary-General or another person whose expenditure would ordinarily be approved by that person, the claim shall be approved by an appropriately authorised alternative authority.

Personal, excessive or unauthorised expenses shall not be reimbursed.

ISEA may establish detailed expense and reimbursement procedures, including applicable limits and categories of reimbursable expenditure.

13. Fraud Prevention and Financial Misconduct

ISEA has zero tolerance for fraud, theft, financial deception, deliberate misappropriation or other intentional misuse of ISEA funds or assets.

Persons subject to this Policy shall not:

- (a) misappropriate or misuse ISEA funds or assets;
- (b) submit false, inflated or misleading expense claims;
- (c) create or approve fictitious transactions;
- (d) falsify financial records;
- (e) circumvent financial controls or approval requirements;
- (f) make unauthorised payments;
- (g) use ISEA funds for personal purposes; or
- (h) otherwise engage in dishonest or improper financial conduct.

ISEA shall maintain reasonable measures to prevent, detect and respond to financial misconduct.

Suspected fraud, financial irregularity or material misuse of ISEA funds shall be reported through an appropriate ISEA reporting mechanism, including the Whistleblower Policy where applicable.

ISEA may investigate suspected financial misconduct and may take disciplinary, recovery, contractual, legal or other appropriate action.

No person shall suffer retaliation for making a report in good faith in accordance with ISEA's Whistleblower Policy.

14. Related-Party Transactions and Financial Conflicts

ISEA shall manage related-party transactions in a manner that protects the integrity of its financial decision-making and the interests of ISEA.

A related-party transaction includes a transaction or proposed transaction between ISEA and a person or entity where the relationship could reasonably give rise to an actual, potential or perceived conflict of interest or personal benefit.

Persons involved in a proposed related-party transaction shall:

- (a) disclose the relevant relationship or interest;
- (b) refrain from improperly influencing the decision;
- (c) not approve their own related-party transaction; and
- (d) comply with applicable requirements of the Conflict of Interest Policy.

ISEA shall assess whether a proposed related-party transaction is:

- (e) necessary or appropriate;
- (f) on reasonable and appropriate terms;
- (g) in the interests of ISEA;
- (h) appropriately authorised; and
- (i) appropriately documented.

The Governing Council may require enhanced approval, independent review or additional disclosure for material related-party transactions.

15. Financial Reserves

ISEA shall maintain appropriate financial reserves having regard to its financial position, operating commitments, strategic objectives and foreseeable risks.

The purpose of financial reserves is to support:

- (a) financial stability;
- (b) continuity of essential operations;
- (c) management of unexpected financial pressures;
- (d) unforeseen or exceptional expenditure;

- (e) protection against significant fluctuations in income; and
- (f) longer-term organisational sustainability.

The Governing Council shall periodically consider the appropriate level and purpose of ISEA's financial reserves.

ISEA shall seek to maintain sufficient liquidity to meet its foreseeable financial obligations as they fall due.

The Governing Council may establish specific reserve targets, restrictions or designated reserves where appropriate.

Material use of reserves outside approved purposes shall require appropriate Governing Council approval.

16. Financial Oversight by the Governing Council

The Governing Council shall exercise ongoing oversight of ISEA's financial performance and financial sustainability.

Financial oversight shall include consideration, as appropriate, of:

- (a) actual financial performance against budget;
- (b) cash flow and liquidity;
- (c) financial reserves;
- (d) material financial commitments;
- (e) significant expenditure;
- (f) material variances;
- (g) financial risks;
- (h) fraud or suspected financial irregularities;
- (i) related-party transactions;
- (j) audit or financial review findings;
- (k) compliance with financial delegations; and
- (l) other matters that could materially affect ISEA's financial position or reputation.

The Governing Council may request additional financial information, explanations, reviews or assurance where it considers this necessary.

Material financial matters shall be escalated to the Governing Council without undue delay where they may materially affect ISEA's financial position, operations, reputation or compliance obligations.

17. Audit and Financial Review Arrangements

ISEA shall maintain appropriate independent review or assurance arrangements having regard to its size, activities, financial complexity, risk profile and applicable requirements.

The Governing Council shall determine, or approve the arrangements for determining:

- (a) whether an external audit or independent financial review is required;
- (b) the scope and frequency of financial reviews;
- (c) the appointment of an appropriately qualified auditor or reviewer;
- (d) the manner in which findings are reported; and
- (e) the process for addressing material recommendations.

Where an external auditor or independent reviewer is appointed, ISEA shall provide reasonable access to relevant financial records and information necessary to conduct the engagement.

Audit and review findings shall be considered by the Governing Council or an appropriately authorised body.

Material control deficiencies, significant financial irregularities or other matters identified through audit or review shall be appropriately addressed and monitored to completion.

The independence of any external auditor or reviewer shall be appropriately considered when appointing or renewing the engagement.

18. Financial Records and Documentation

ISEA shall maintain financial records sufficient to demonstrate:

- (a) the source and application of ISEA funds;
- (b) the nature and purpose of material transactions;
- (c) approvals and financial authorities;
- (d) banking activity;
- (e) expenditure and reimbursements;
- (f) contractual and purchasing commitments;
- (g) financial reporting; and
- (h) other matters necessary to establish appropriate financial accountability.

Financial records shall be maintained securely and retained in accordance with ISEA's Document Retention Policy and applicable legal requirements.

Access to financial records shall be limited to persons with a legitimate need for access or persons otherwise authorised to obtain them.

19. Exceptions and Breaches

Exceptions to this Policy shall be permitted only where they are reasonable, documented and authorised by an appropriate authority.

No exception may be used to circumvent a legal requirement, the ISEA Charter, an applicable ISEA Regulation or another mandatory governance requirement.

A material breach of this Policy shall be reported to the Secretary-General and, where appropriate, the Governing Council.

Financial misconduct or conduct that may constitute a breach of another ISEA requirement may also be addressed under the Ethics Policy, Code of Ethics and Standards of Professional Conduct, Disciplinary Policy, Whistleblower Policy, Conflict of Interest Policy or other applicable ISEA requirements.

20. Relationship with Other ISEA Policies and Requirements

This Policy operates alongside ISEA's broader governance and risk framework.

It should be read together with, as applicable:

- (a) the Charter;
- (b) ISEA financial delegations and procedures;
- (c) the Risk Management Policy;
- (d) the Conflict of Interest Policy;
- (e) the Ethics Policy;
- (f) the Code of Ethics and Standards of Professional Conduct;
- (g) the Whistleblower Policy;
- (h) the Document Retention Policy;
- (i) the Complaints Policy;
- (j) the Disciplinary Policy; and
- (k) other applicable ISEA policies, regulations and Committee Charters.

Where a matter is governed by a specific ISEA requirement, that requirement shall apply in addition to this Policy.

Where there is an inconsistency between this Policy and a higher-ranking ISEA governing document, the higher-ranking document shall prevail.

21. Review and Continuous Improvement

ISEA shall periodically review this Financial Management and Internal Controls Policy to ensure that it remains appropriate and effective having regard to:

- (a) ISEA's financial position and organisational development;
- (b) changes in the scale and complexity of ISEA's operations;
- (c) audit and financial review findings;
- (d) identified financial control weaknesses;
- (e) fraud, financial misconduct or other financial incidents;
- (f) changes in applicable legal or regulatory requirements;
- (g) developments in financial management and internal control practices;
- (h) technological developments affecting financial systems and payment security;
- (i) changes to ISEA's governance structure or financial delegations; and
- (j) emerging financial risks.

The Secretary-General shall recommend amendments where appropriate, subject to approval by the Governing Council.

The Governing Council may direct an earlier review where a material financial event, control failure, audit finding or significant organisational change indicates that the Policy should be reconsidered.

22. Effective Date

This Financial Management and Internal Controls Policy takes effect on the date approved by the Governing Council.